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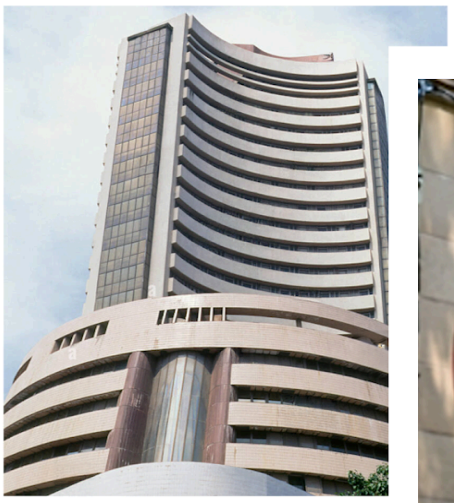
General Knowledge

Indian Economy

STUDY NOTES

Inflation in India



Inflation in India

Introduction

- Inflation means a persistent rise in the price of goods and services.
- It leads to a reduction in the purchasing power of the fiat currency of the country.
- In simple terms, when inflation rises, you can buy fewer goods for the same amount of money.

Historical Trends of Inflation in India

India's inflation rate has fluctuated over time, with some notable highs and lows:

- **1974**: The inflation rate peaked at **28.60%**, an all-time high
- **1976**: The inflation rate bottomed out at **-7.63%**, a record low
- **2013**: The inflation rate reached **12.17%**, an all-time high
- **2017**: The inflation rate reached **1.54%**, a record low
- **2023**: The inflation rate was **6.95%**
- From **1960 to 2023**, the average annual inflation rate in India was **7.37%**.
- Factors that influence India's inflation rate include: Domestic economic activities, Monsoon patterns that affect agricultural output, and Policy decisions

Types of Inflation

Creeping Inflation:

- Creeping inflation refers to a slow and steady rise in prices, typically at an annual rate of 1% to 5%. It is often considered a normal and manageable level of inflation.
- This type of inflation is generally beneficial to the economy because it encourages consumption and investment.
- Examples: Many advanced economies experience creeping inflation over long periods.
- For instance, in some years, India's inflation rate has remained within this range, reflecting stable economic conditions.

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Trotting Inflation:

- Trotting inflation occurs when the annual rate of inflation is between 5% and 10%. It is faster than creeping inflation but still manageable for most economies.
- At this stage, inflation becomes more noticeable, and the **cost of living starts to rise** at a pace that might cause concern, but it does not yet indicate a crisis.
- **Wages** often rise to keep up with inflation, but there can be a lag between price increases and wage adjustments, leading to a temporary reduction in purchasing power.
- **Examples**: Many developing countries, including India in some years, experience trotting inflation due to factors like demand growth, increased public spending, or supply chain disruptions.

Galloping Inflation:

- Galloping inflation refers to when the annual rate of inflation reaches between 10% and 20%. This is considered dangerous because prices are rising quickly, leading to instability in the economy.
- Galloping inflation often signals that the economy is **overheating**, where demand far outstrips supply, causing rapid price rises.
- It is often driven by **excessive money supply**, supply shortages, or external shocks such as oil price hikes.
- At this stage, inflation starts to erode real income significantly, reducing people's purchasing power and creating widespread uncertainty.
- **Examples**: Some countries in Latin America, such as Brazil in the 1980s and 1990s, experienced galloping inflation, with prices rising sharply each year.

Runaway Inflation:

- If galloping inflation aggravates, it can worsen to runaway inflation.
- Runaway inflation occurs when galloping inflation **worsens further**, leading to extremely high and uncontrollable price increases.
- Though not as severe as hyperinflation, it represents a significant economic crisis.
- Runaway inflation is characterized by a situation where prices rise **daily or weekly**. Currency rapidly loses its value, and the economy is on the verge of collapse.
- People and businesses may switch to using **foreign currencies** or bartering, as their local currency becomes less trustworthy.

- This situation is often the result of political instability, loss of confidence in the government, and unsustainable fiscal policies.

Hyperinflation:

- Hyperinflation occurs when the rate of inflation exceeds **50% per month** (or more than **1000% annually**), causing prices to skyrocket rapidly.
- The currency becomes nearly worthless as people lose all confidence in its value.
- Hyperinflation happens when there is **too much money in circulation** compared to the goods and services available.
- Central banks often lose control of the money supply, and the government may continue printing money, exacerbating the problem.

Historical Examples:

- **Germany's Weimar Republic** (1920s): After World War I, Germany printed excessive money to pay war reparations, leading to hyperinflation. People needed wheelbarrows of money to buy basic goods.
- **Zimbabwe** (2007-2008): Inflation rates reached over 79 billion per cent per month. People started abandoning the Zimbabwean dollar and using foreign currencies.
- **Venezuela** (2010s): The country experienced hyperinflation due to political instability, poor economic management, and declining oil revenues.

Forms of Inflation

Demand-Pull Inflation/Growth Inflation

- Inflation is caused by increases in demand due to increased private or government spending, etc.
- This is commonly described as "too much money chasing too few goods".
- **Example**: During economic booms, when GDP grows rapidly, consumer and business confidence often leads to increased demand for goods and services, resulting in higher prices.

Cost-Push Inflation/Supply Shock Inflation

- Caused by reduced supplies.

- For example, when crude prices go up, thus higher costs of production and so higher prices of products.
- Example: A sudden increase in crude oil prices can lead to higher transportation and manufacturing costs, which in turn increases the price of goods and services that rely on oil, such as gasoline and plastics.

Structural Inflation

- Persistent inflation is caused by deficiencies in the economy such as a backward agricultural sector, inefficient distribution etc.
- **Example**: In countries where agriculture is a significant part of the economy but is underdeveloped (e.g., reliance on monsoons for irrigation), food prices may be volatile and cause persistent inflation. This structural issue creates long-term price pressures.

Core or Underlying Inflation

- The long-run trend in the general price level excludes temporary effects like changes in the price of fuel and food.
- **Example**: If fuel prices rise due to a temporary supply disruption, core inflation would remain unaffected, but headline inflation (which includes all items) might spike temporarily.

Headline Inflation

- This includes the official rate of increase in prices that excludes no item in the basket.
- Based on CPI.
- While the average inflation/core inflation is based on the WPI
- **Example**: A sharp rise in fuel prices could cause a spike in headline inflation, but if the underlying trend (core inflation) remains stable, the central bank may not react aggressively in terms of raising interest rates.

Methods to Measure Inflation

GDP Deflator

- A measure of the change in prices of all new, domestically produced, final goods and services in an economy.

- Compiled by the National Statistical Office (NSO).
- It covers the entire economy.

Cost of Living Index

- The cost of maintaining a certain standard of living with reference to a basket of goods and services.
- When cost goes up, the index goes up and then the Cost of Living (CoL) is said to be dearer.

Producer Price Index (PPI)

- It measures the average change in selling prices, as received by domestic producers of goods and services over time.
- The PPI looks at three areas of production:
    - Industry-based production.
    - Commodity-based production.
    - Commodity-based final and intermediate demand.

Wholesale Price Index (WPI)

- It is the weighted average change in the price of a selection of goods at wholesale, prior to retail sales thus excluding sales taxes (indirect taxes).
- Published by the Office of Economic Adviser, DPIIT, Ministry of Commerce and Industry, Based on 2011-12 as the base year.
- WPI covers
    - Manufactured goods like chemicals, metals and consumer durable. - Maximum weightage.
    - Primary articles -- food, non-food and minerals - 2nd Maximum
    - Power/fuel - Minimum
- New WPI: it accounts for both - organised and unorganised sector.
- Limitations:
    - The accuracy of WPI is unsatisfactory even after the introduction of the revised series in 2010.
    - It does not include services like transport, health, education etc.
    - Thus, the index falls short of being a broad-based indicator.

Consumer Price Index (CPI)

- It reflects the actual inflation that is borne by the individual.
- It measures price changes over time (typically a Month).
- These indices are available for five major groups namely
    - Food, beverages and tobacco (Maximum Weightage)
    - Housing (2nd)
    - Fuel and light (3rd)
    - Clothing, Bedding and Footwear (Min)

Index of Industrial Production (IIP)

- It details the short-term growth of various sectors in an economy.
- It is published by NSO, Ministry of Statistics and Program Implementation.
- It includes: -
    - Manufacturing (max)
    - Mining (2nd)
    - Electricity (last) [MME] (weightage should be clearly mentioned)
- The new series of IIP includes technology items like smartphones, tablets, LED television etc., which are to be updated from time to time.

Small Amount of Inflation is Good

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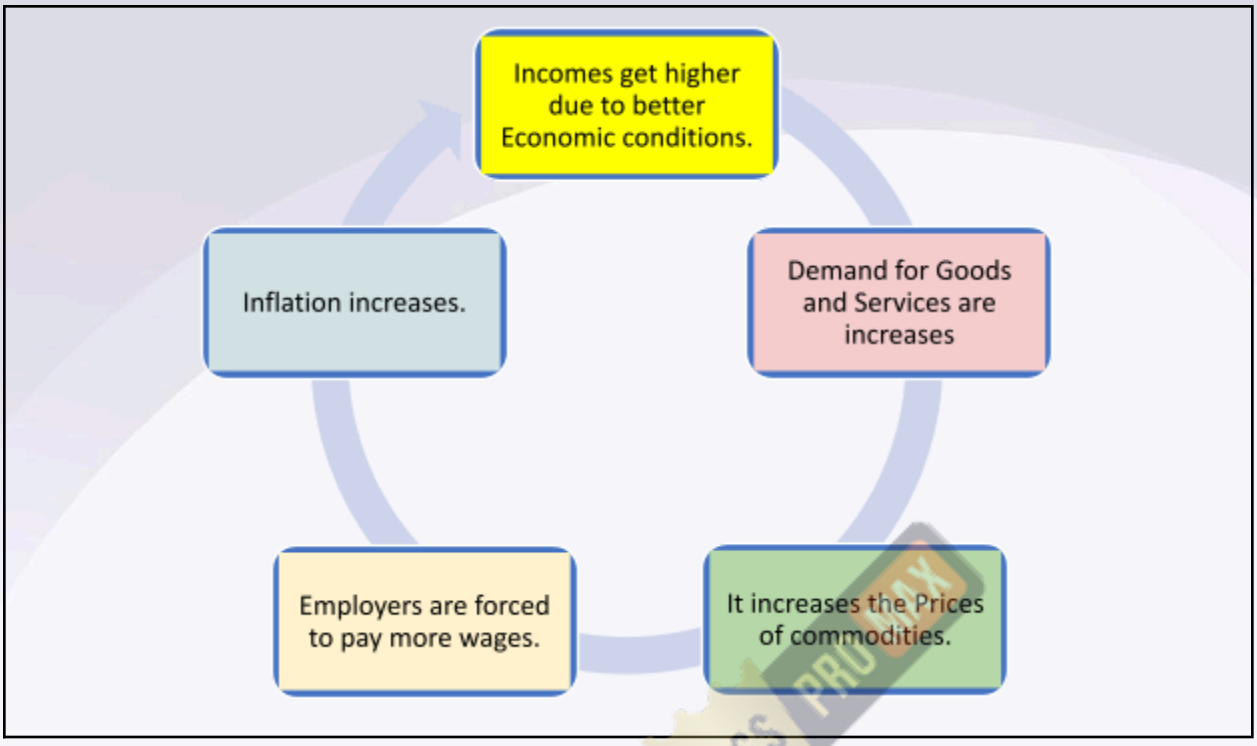
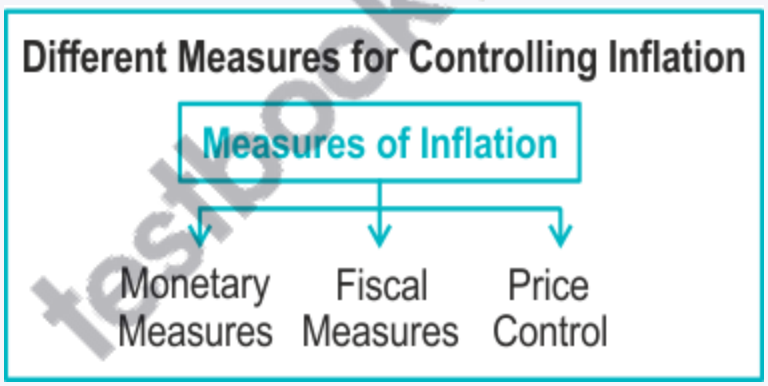


Methods to Control Inflation



Fiscal Measures

- This includes increasing the indirect taxes or decreasing the government's spending etc.
- Fiscal policy involves the government's use of taxation and spending to influence the economy. When inflation rises, the government can take steps to reduce aggregate demand or limit inflationary pressures.
- **Increasing Indirect Taxes**:

- The government can increase taxes like the **Goods and Services Tax (GST)** or **excise duties**. Higher taxes reduce disposable income, which lowers consumer spending and helps cool down demand-driven inflation.
- **Example**: If inflation is driven by excessive consumption of goods, the government could increase the GST on luxury goods, making them more expensive, and reducing demand.

- **Decreasing Government Spending**:
  - By reducing public expenditure on large-scale projects or subsidies, the government can reduce the amount of money circulating in the economy, thus easing demand-pull inflation.
  - This is particularly effective when inflation is caused by **excessive public spending**.
  - **Example**: Cutting down on infrastructure spending or reducing subsidies for certain sectors (e.g., oil, fertilizers) can help to lower inflation.
- **Increasing Surplus**: The government can also focus on reducing its budget deficit by cutting spending or increasing taxes. This can prevent inflationary pressures caused by excessive deficit financing.

Monetary Measures

- Monetary policy involves the use of tools by a central bank (in India, the Reserve Bank of India, RBI) to control the supply of money and influence interest rates to manage inflation.
- Raising Interest Rates (like the Repo Rate):
- The Repo Rate is the rate at which the RBI lends money to commercial banks. By increasing the repo rate, the cost of borrowing for banks increases, which in turn raises interest rates for consumers and businesses.
- This discourages borrowing and reduces spending and investment in the economy, thus curbing demand and helping to control inflation.
- Example: During periods of high inflation, the RBI may raise the repo rate to make loans more expensive for businesses and households, thus reducing consumption and cooling down inflation.
- Open Market Operations (OMOs):
  - The RBI buys and sells government securities in the open market to regulate liquidity in the economy.

- If inflation is rising, the RBI can sell government bonds, which reduces the money supply by sucking excess liquidity out of the economy. Less money in circulation helps to reduce demand and lower inflation.
- Example: During inflationary periods, the RBI may sell government securities to absorb excess liquidity, thereby reducing the money available for consumption and investment.

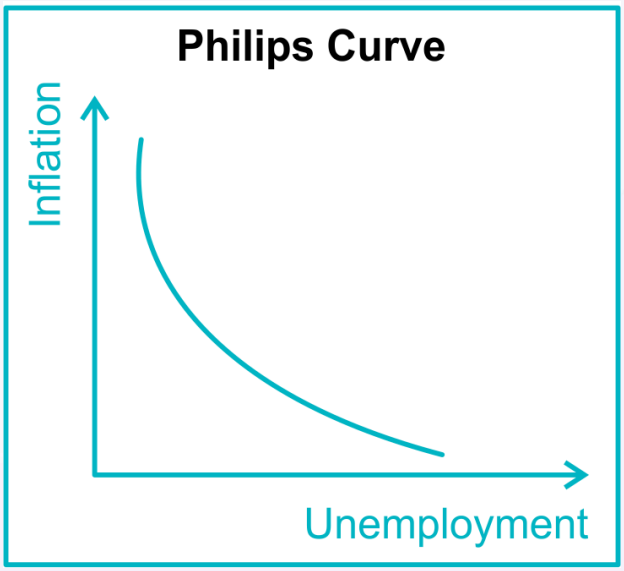
- Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR):
  - By increasing the CRR (the percentage of deposits that banks must keep with the RBI) or the SLR (the percentage of deposits banks must maintain in the form of liquid assets), the RBI can reduce the amount of money banks have available for lending.
  - This limits the money supply and helps control inflation.

Administrative Measures

- This includes using the Essential Commodities Act of 1955 and Anti-Black marketing measures to prevent hoarding of Goods.
- Wage and Price Controls can also be used. However, provided India has almost liberalised its economy, it cannot use the price fixation measure.

Phillips Curve

The **Phillips Curve** represents the inverse relationship between **inflation** and **unemployment** in an economy. It suggests that lower unemployment rates are associated with higher inflation, and vice versa, in the short run.



- Developed by **A.W. Phillips** in 1958 based on empirical data from the UK.
- Observed that when unemployment was low, wages grew rapidly (indicating inflation), and when unemployment was high, wage growth was slow (indicating deflation).

Factors Influencing the Phillips Curve

- **Supply Shocks:** Events like oil price hikes shift the curve.
- **Expectations of Inflation:** Adaptive or rational expectations can influence inflation and unemployment dynamics.
- **Government Policies:** Monetary and fiscal policies can shift the curve by affecting aggregate demand and supply.

Limitations

- **Empirical Inconsistencies:** Not all economies show a clear trade-off.
- **Ignores Structural Issues:** Does not account for supply-side factors affecting inflation and unemployment.
- **Static Model:** Assumes fixed expectations, which may not hold true in dynamic economies.

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